

# Quarterly Report on Form 10-Q

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Meridian Health Systems, Inc. (NYSE: MRDN)

For the quarterly period ended June 30, 2024 (Q2 fiscal year 2024)

SYNTHETIC SAMPLE DOCUMENT. Meridian Health Systems is a fictional company and every figure below is invented for testing purposes. This report has been prepared in accordance with generally accepted accounting principles (GAAP) and the applicable rules of the Securities and Exchange Commission (SEC).

## Item 2. Management's Discussion and Analysis

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Total revenue was \$684 million for the three months ended June 30, 2024, an increase of 9% compared with \$627 million for the three months ended June 30, 2023. The increase was driven by higher patient volumes at our outpatient surgical centers and a rate increase negotiated with our largest commercial payer effective January 1, 2024.

Gross margin was 38.1% for Q2 fiscal year 2024, compared with 36.9% for Q2 fiscal year 2023, an improvement of approximately 120 basis points, reflecting lower agency staffing costs as permanent nurse hiring improved.

Operating income was \$71 million for the quarter, compared with \$58 million in the prior-year quarter. Operating expenses grew 7% year over year, driven by continued investment in our electronic health records platform.

Net income for the quarter was \$49 million, or \$0.62 per diluted share, compared with net income of \$39 million, or \$0.50 per diluted share, in

the three months ended June 30, 2023.

## Segment Results

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Revenue and operating income by reportable segment for the three months ended June 30, 2024 were as follows.

| Segment                        | Q2 FY24<br>Revenue | Q2 FY23<br>Revenue | Q2 FY24<br>Operating<br>Income |
|--------------------------------|--------------------|--------------------|--------------------------------|
| Hospital Services              | 412                | 384                | 46                             |
| Outpatient<br>Surgical Centers | 189                | 161                | 21                             |
| Diagnostics                    | 83                 | 82                 | 4                              |

Hospital Services remained the largest segment by revenue, contributing \$412 million for the quarter, while Outpatient Surgical Centers grew the fastest at 17% year over year.

## Condensed Consolidated Balance Sheets

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| Item                       | June 30,<br>2024 | December 31, 2023 |
|----------------------------|------------------|-------------------|
| Total current assets       | 512,300          | 476,800           |
| Total assets               | 3,218,900        | 3,104,500         |
| Total current liabilities  | 398,700          | 372,100           |
| Total liabilities          | 1,486,200        | 1,452,900         |
| Total stockholders' equity | 1,732,700        | 1,651,600         |

Total assets were \$3,218,900 thousand and total stockholders' equity was \$1,732,700 thousand as of June 30, 2024.

# Condensed Consolidated Statements of Cash Flows

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Net cash provided by operating activities was \$146 million for the six months ended June 30, 2024, compared with \$118 million for the six months ended June 30, 2023. Net cash used in investing activities was \$62 million, primarily for equipment purchases at outpatient surgical centers.

## Item 1A. Risk Factors

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Our revenue depends significantly on reimbursement rates set by government payers and negotiated with commercial insurers. A reduction in reimbursement rates, or a shift in patient mix toward lower-reimbursement payers, could reduce revenue and operating margin.

We face a competitive labor market for registered nurses and other clinical staff. Continued wage inflation or a return to elevated agency staffing usage could increase operating expenses faster than revenue.

We are subject to extensive federal and state healthcare regulation. Changes in reimbursement policy or new regulatory requirements could increase compliance costs or affect the way we deliver and bill for care.

## Item 4. Controls and Procedures

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Based on an evaluation as of the end of the period covered by this report, our Chief Executive Officer and Chief Financial Officer concluded that our disclosure controls and procedures were effective. No change in internal control over financial reporting occurred during the quarter ended June 30, 2024 that has materially affected, or is reasonably likely to materially affect, internal control over financial reporting.